

THE COMPLETE BEGINNER GUIDE — Multi-Timeframe Levels + EMA Strategy + Chop + Candle Confirmation

This guide explains:

- What each price level means
 - What key technical terms mean
 - How to combine levels with 9/21 EMA and 200 EMA
 - How chop box works
 - How to enter and exit trades
 - Why a green candle can appear in a put setup
 - A cheat sheet
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PART 1 — What Are These Lines?

These lines are **levels** — important price zones drawn from different timeframes.

Different timeframes = different strength.

Think of them like **walls** the market hits.

BLACK Line — Daily Level (Strongest Level)

What it is

A price level taken from the **daily chart**.

Why it matters

The daily chart is watched by:

- Hedge funds
- Banks
- Algorithms
- Large traders

Daily levels act like **major walls**.

How price behaves here

- **Bounce** → price hits the level and goes up
- **Reject** → price hits the level and goes down
- **Stall** → price pauses or moves sideways
- **Break** → price pushes through the level with strength
- **Trend shift** → breaking a daily level can change the entire market direction

Beginner analogy

The daily level is a **big brick wall**. Price reacts strongly when it hits it.

GREEN Line — 4-Hour Level (Medium Strength)

What it is

A price level taken from the **4-hour chart**.

Why it matters

Used by swing traders and intraday traders.

How price behaves here

- **Stall** → price slows down
- **Wick** → price touches the level briefly then pulls back
- **Short reversal** → price may reverse for a few candles

Beginner analogy

The 4-hour level is a **medium wall**. Price reacts, but not as dramatically as the daily level.

PURPLE Line — 5-Minute Level (Weakest but Most Useful)

What it is

A price level taken from the **first 5-minute candle** of the day.

Why it matters

Perfect for scalping and quick trades.

How price behaves here

- Fast reactions
- Short moves
- Great for entries
- Not strong enough to set the big trend

Beginner analogy

The 5-minute level is a **small wall**. Price reacts quickly, but not for long.

PART 2 — Technical Terms Explained (Beginner Language)

Support — A level where price tends to stop falling and bounce upward.

Resistance — A level where price tends to stop rising and fall downward.

Reject / Rejection — Price touches a level and immediately moves away.

Bounce — Price hits a level and moves upward.

Stall — Price slows down or moves sideways.

Wick — The thin line on a candle showing where price briefly went before pulling back.

Break — Price pushes through a level with strength.

Retest — Price breaks a level, then comes back to touch it again.

Trend — The overall direction of the market:

- Uptrend = higher highs, higher lows
- Downtrend = lower highs, lower lows

EMA (Exponential Moving Average) — A line showing average price, weighted toward recent candles.

You use:

- **9 EMA** (fast)
- **21 EMA** (medium)
- **200 EMA** (long-term trend)

EMA Cross — When the 9 EMA crosses the 21 EMA:

- Upward cross (9 EMA crossing above 21 EMA) = bullish
- Downward cross (9 EMA crossing below 21 EMA) = bearish

This is your **entry trigger**.

PART 3 — Putting It All Together (Beginner Version)

Daily (Black) = Big Direction — Sets the overall trend.

4-Hour (Green) = Intraday Bias — Tells you whether today is more likely bullish or bearish.

5-Minute (Purple) = Entry Zone — Where you take actual trades.

PART 4 — Understanding CHOP (Beginner Explanation)

Chop = **sideways movement with no direction**.

Price is stuck inside a box.

How to recognize chop

- No higher highs
- No lower lows
- EMAs tangled
- Price bouncing around
- Volume low
- Fake breakouts

Why chop is dangerous

- EMA signals fail
- Breakouts fail
- Price reverses instantly
- You lose money fast

What to do in chop

Do NOTHING.

Wait for:

1. Breakout
2. Retest
3. 9/21 EMA cross
4. Direction matching the 200 EMA

Then enter.

PART 5 — Combining Levels + 9/21 EMA + 200 EMA + Chop + Candle Confirmation

This is your full trading system.

CALL ENTRY (Bullish)

You enter a call when ALL are true:

1. Price **above** 200 EMA
2. Price **above** 4-hour green level
3. Break OUT of chop box
4. Retest of breakout
5. **Green candle among red candles** (momentum confirmation)
6. **9 EMA crosses ABOVE 21 EMA** (+ sign)
7. Volume increasing
8. Entry at or near the 5-minute level (purple)

PUT ENTRY (Bearish)

You enter a put when ALL are true:

1. Price **below** 200 EMA
2. Price **below** 4-hour green level
3. Break DOWN from chop box
4. Retest of breakout
5. **Red candle among green candles** (momentum confirmation)
6. **9 EMA crosses BELOW 21 EMA** (+ sign)
7. Volume increasing
8. Entry at or near the 5-minute level (purple)

PART 6 — Why a Green Candle Can Appear in a Put Setup

This is the part that confused you — and it's normal.

A green candle inside a red trend = pullback. A red candle inside a green trend = pullback.

Pullbacks are NORMAL.

They do NOT change the trend. They do NOT cancel your setup. They do NOT mean "switch direction."

They simply mean: "Price is retesting before continuing."

In the example chart that showed a green candle among red candles in a bearish market

- Price broke DOWN from chop → bearish
- Price retested the chop box bottom → normal
- A green candle appeared → pullback
- Sellers returned → rejection
- Downtrend continued → put re-entry

The arrow marks the moment sellers regained control.

PART 7 — When to EXIT a Trade

Exit when ANY of these happen:

- **Hit next major level** — Daily (black), 4-hour (green), or 5-minute (purple)
 - **Touch the 200 EMA** — Acts like a wall.
 - **Opposite 9/21 EMA cross** — Momentum shifts.
 - **Price enters chop** — Sideways movement = danger.
 - **Volume dies** — Weak move = exit.
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PART 8 — Example Using the Chart

Price moves upward:

Hits the green 4-hour level — Medium reaction → possible wick or stall.

Hits the black daily level — Strong reaction → big bounce or rejection → trend may change.

PART 9 — The Easiest Way to Remember

Daily = Big Wall 4-Hour = Medium Wall

Price reacts differently depending on which wall it hits.

FINAL CHEAT SHEET

5-MINUTE TRADING CHEAT SHEET

DAILY LEVEL (BLACK)

- Strongest level
- Sets BIG TREND
- Acts like a brick wall

4-HOUR LEVEL (GREEN)

- Medium strength
 - Sets INTRADAY BIAS
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200 EMA

- Trend filter
- Above = calls
- Below = puts

9/21 EMA CROSS (+)

- Entry trigger
 - 9>21 = calls
 - 9<21 = puts
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CHOP BOX

- Sideways movement
 - EMAs tangled
 - Fakeouts
 - NO TRADING
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CALL ENTRY

- ✓ Above 200 EMA
- ✓ Above 4H level
- ✓ Break OUT of chop
- ✓ Retest
- ✓ Green candle among red (momentum)
- ✓ 9/21 cross UP
- ✓ Volume rising
- ✓ Entry at 5M level

PUT ENTRY

- ✓ Below 200 EMA
- ✓ Below 4H level
- ✓ Break DOWN from chop
- ✓ Retest
- ✓ Red candle among green (momentum)
- ✓ 9/21 cross DOWN
- ✓ Volume rising
- ✓ Entry at 5M level

IMPORTANT:

A green candle in a bearish retest DOES NOT mean calls.
A red candle in a bullish retest DOES NOT mean puts.

EXIT RULES

- × Hit major level
 - × Touch 200 EMA
 - × Opposite EMA cross
 - × Enter chop
 - × Volume dies
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